PARTNERSHIP PROPOSAL · APRIL 2026 · V6 (12/15 TIER · US$2M / US$5M)

A New Structure for Our Next Chapter Together

Collective Shift x Alchemy — Proposed Compensation Framework

From: Ben Simpson, Collective Shift **To:** Sanjay & Kishan, Alchemy **Date:** April 2026 **Status:** Proposal — For Discussion

CONTEXT

Boys — we've reworked the numbers to reflect a realistic base case of **3x MER** (every A$1 of ad spend returns A$3 in revenue). That's the honest planning assumption; 5x was optimistic. Everything below is built on 3x.

We've landed on two structures worth putting on the table:

Option A is a flat **10% of contribution margin** (revenue after all variable costs and ad spend). Clean, simple, scales linearly. **Option B — the recommended structure — is a simple two-tier model on contribution margin: 12% up to A$300K, 15% above A$300K.** It protects both sides at low volume and rewards scale with real upside.

We're raising capital, the US market is live, and the next 12 months matter more than any before. We want Alchemy earning A$50K+/month when we scale — and **A$413K+/month (US$260K+) when the US channel hits US$5M/mo revenue**. All numbers in this pack are shown in both AUD and USD (FX: 1 USD = 1.587 AUD). Happy to backdate to April.

3x	**A$11K**	**US$105K**	**US$260K**
BASE MER	FLOOR EARNINGS	AT US$2M/MO REV	AT US$5M/MO REV
	≈ US$7K	A$167K/MO · NEAR-TERM TARGET	A$413K/MO · FULL SCALE

ALCHEMY MONTHLY EARNINGS — USD VIEW (OPTION B)

US$7K	**US$11K**	**US$30K**	**US$39K**	**US$260K**
FLOOR	TARGET	STRETCH+	SCALE	AT US$5M REV
A$100K ads	A$150K ads	A$400K ads	A$500K ads	full scale

USD figures converted at 1 USD = A$1.587. See the Scale-Up Runway section for the full US$1M → US$5M monthly-revenue trajectory.

UNIT ECONOMICS — HOW CONTRIBUTION MARGIN IS CALCULATED

Commission is paid on **contribution margin** — gross margin AFTER ad spend is deducted. This is the cleanest alignment: Alchemy earns on what's actually left after marketing costs.

PER PLATINUM SALE (AU)

A$20,000 sale price

Gross revenue	**A$20,000**
Less GST (10%)	**-A$2,000**

MONTHLY AGGREGATE @ 3X MER

Paid channel math

MER	**3.0x**
Revenue = Ads × 3	**100% of spend × 3**

Less merchant (3%)	–A$600
Less refund reserve (7%)	–A$1,400
Less closer + setter (15%)	–A$3,000
Gross margin	**A$13,000 (65%)**
Less CAC (avg A$3,500)	–A$3,500
Contribution margin	**A$9,500 / sale**

Gross margin (65% of rev)	195% of ad spend
Less ad spend	–100% of spend
Contribution margin	**95% of ad spend**
Rule of thumb	**≈31.7% of revenue**

Organic sales (≈A$150K/mo from Ben's socials, podcast, mailing list, referrals) are in scope for commission at the same tier rate. Zero ad spend on organic means ~A$97.5K/mo of additional contribution margin flowing into Alchemy's fee base — that alone covers the A$10K/mo floor before paid ads even spin up.

ORGANIC SCALING ASSUMPTION — EXPLICIT

Organic contribution does **not stay flat** as ad spend grows — paid campaigns drive brand awareness, content views, podcast listens and inbound referrals. We model organic growing roughly **1.3x per doubling of ad spend**, capped at A$300K/mo contribution at the US$5M revenue scale.

Base (A$150K ads)	2x ads (A$300K)	7x ads (A$1.06M)	14x ads (A$2.1M)	18x ads (A$2.65M)
A$97.5K organic	~A$127K organic	~A$165K organic	~A$280K organic	A$300K cap

Happy to pressure-test this curve — it's a negotiable input. Underlying driver: CS is investing hard in Ben's personal brand, YouTube, podcast and distribution through 2026. If organic tops out earlier than modelled, Alchemy still earns off paid contribution at the same tier rates.

AU rates shown: GST 10%, merchant 3%, refund reserve 7%, sales commissions 15% (closer 10% + setter 5%). Renewals excluded from commission — retained by CS to cover core OPEX.

TWO OPTIONS ON THE TABLE

OPTION A — SIMPLE

Flat 10% of Contribution Margin

Retainer	None
Rate	10% of contribution
Base (A$150K ads, 3x MER)	~A$14K / mo (US$9K)
At A$500K ads, 3x MER	~A$48K / mo (US$30K)
At US$5M rev (paid+org)	~A$281K / mo (US$177K)
Cap	**Uncapped**

Clean one-line formula. Same rate at every volume. Easy to model, easy to reconcile, no tier-boundary gaming.

OPTION B — RECOMMENDED

Tiered on Contribution Margin 12% / 15%

Tier 1 (≤ A$300K)	12%
Tier 2 (> A$300K)	15%
Base (A$150K ads, 3x MER)	~A$17K / mo (US$11K)
At A$500K ads, 3x MER	**~A$62K / mo** (US$39K)
At US$5M rev (paid+org)	**~A$413K / mo** (US$260K)

Cleaner two-tier structure. 12% on contribution up to A$300K covers the floor; 15% on every dollar above A$300K rewards real scale.

TIER 1	TIER 2
12%	**15%**
on contribution ≤ A$300K / mo	on every dollar above A$300K

Tiered rates apply marginally (like income tax): the first A$300K of monthly contribution is paid at 12%, and every dollar above A$300K is paid at 15%. Tier calculated monthly on new-sales contribution margin (paid + organic, renewals excluded). Suggested safeguard: trailing 3-month rolling average for tier qualification to smooth edge-month gaming.

WHAT ALCHEMY EARNS — 3X MER BASE CASE (OPTION B TIERED)

All scenarios use MER = 3x (A$1 of ad → A$3 of revenue). Gross margin = 65% of revenue after AU variable costs. Contribution margin = gross margin – ad spend. Organic contribution (A$97,500/mo from ~A$150K organic revenue) shown as a separate upside column.

SCENARIO	AD SPEND	REVENUE	GROSS MARGIN (65%)	CONTRIBUTION	ALCHEMY (AUD)	ALCHEMY (USD)	TIER
PAID-ONLY CONTRIBUTION (EXCLUDING ORGANIC)							
Floor current run-rate	A$100,000 US$63K	A$300,000 US$189K	A$195,000 US$123K	A$95,000 US$60K	**A$11,400**	US$7,184	Tier 1
Target healthy base case	**A$150,000 US$95K**	**A$450,000 US$284K**	**A$292,500 US$184K**	**A$142,500 US$90K**	**A$17,100**	US$10,776	Tier 1
Stretch scaling phase	A$300,000 US$189K	A$900,000 US$567K	A$585,000 US$369K	A$285,000 US$180K	**A$34,200**	US$21,550	Tier 1
Stretch+ scaling phase	A$400,000 US$252K	A$1,200,000 US$756K	A$780,000 US$491K	A$380,000 US$239K	**A$48,000**	US$30,246	Tier 1+2
Scale target deployment	**A$500,000 US$315K**	**A$1,500,000 US$945K**	**A$975,000 US$614K**	**A$475,000 US$299K**	**A$62,250**	US$39,225	Tier 1+2

SCENARIO	AD SPEND	REVENUE	GROSS MARGIN (65%)	CONTRIBUTION	ALCHEMY (AUD)	ALCHEMY (USD)	TIER
Scale+ aggressive scale	**A$750,000** US$473K	**A$2,250,000** US$1.42M	**A$1,462,500** US$922K	**A$712,500** US$449K	**A$97,875**	**US$61,673**	Tier 1+2
PAID + ORGANIC (REALISTIC BLEND — ORGANIC ADDS ~A$97.5K CONTRIBUTION AT BASE)							
Floor	A$100,000	A$300K + organic	+A$97,500 organic	A$192,500 US$121K	**A$23,100**	**US$14,556**	Tier 1
Target	**A$150,000**	**A$450K + organic**	**+A$97,500 organic**	**A$240,000** US$151K	**A$28,800**	**US$18,147**	Tier 1
Stretch	A$300,000	A$900K + organic	+A$97,500 organic	A$382,500 US$241K	**A$48,375**	**US$30,482**	Tier 1+2
Scale	**A$500,000**	**A$1.5M + organic**	**+A$97,500 organic**	**A$572,500** US$361K	**A$76,875**	**US$48,441**	Tier 1+2
Scale+	**A$750,000**	**A$2.25M + organic**	**+A$97,500 organic**	**A$810,000** US$510K	**A$112,500**	**US$70,888**	Tier 1+2

Paid-only rows are the conservative floor; paid+organic is the realistic operating case. Tier badges reflect where in the tiered schedule contribution lands — fees are calculated marginally across tiers, not on total.

Earnings Milestones — Paid-Only Base Case (Option B)

How ad spend maps to Alchemy monthly earnings — conservative (paid-only) case at 3x MER.

A$11K	A$17K	A$48K	A$62K
FLOOR	TARGET	STRETCH	SCALE
A$100K ads · US$7K	A$150K ads · US$11K	A$400K ads · US$30K	A$500K ads · US$39K

Add organic contribution (A$97.5K/mo base, scaling to A$300K at full scale) and the earnings step up: Floor A$23K (US$15K) · Target A$29K (US$18K) · Stretch A$48K (US$30K) · Scale A$77K (US$48K). At Scale+ (A$750K ads) Alchemy earns **A$113K/month (US$71K)** — the 15% tier kicks in every dollar above A$300K contribution. And that's before we talk about US$5M/mo revenue — see the Scale-Up Runway.

🚀 THE SCALE-UP RUNWAY — US$1M → US$5M MONTHLY REVENUE

Here's the point of the raise, the US expansion and the new structure: the trajectory from where we are today to a real US business doing **US$5M/month in new-sales revenue**. Option B is engineered for exactly this — the 15% tier above A$300K contribution is where Alchemy's compounding kicks in.

Base case still 3x MER. Organic contribution scales 1.3x per doubling of ad spend, capped at A$300K/mo at full US$5M scale (see assumption box on page 1). All dollars shown in both AUD and USD. FX: 1 USD = A$1.587.

🎯 NEAR-TERM TARGET · 12–18 MONTHS

US$2M / month

A$3.174M monthly revenue · realistic 12–18 month outcome

ALCHEMY EARNS **US$104.9K** A$166.5K/mo

🚀 FULL SCALE · 24–36 MONTHS

US$5M / month

A$7.935M monthly revenue · raise + US expansion endgame

ALCHEMY EARNS **US$260K** A$413K/mo

MONTHLY REVENUE	AD SPEND (3X MER)	GROSS MARGIN (65%)	ORGANIC CONTRIB	TOTAL CONTRIB (AUD)	ALCHEMY EARNS (AUD)	ALCHEMY EARNS (USD)
US$1M A$1.587M	A$529K US$333K	A$1.032M US$650K	A$127K	A$630K US$397K	A$85.5K	US$53.9K
US$2M **A$3.174M · near-term target**	**A$1.058M** **US$667K**	**A$2.063M** **US$1.30M**	**A$165K**	**A$1.170M** **US$737K**	**A$166.5K**	**US$104.9K**
US$3M A$4.761M	A$1.587M US$1.00M	A$3.095M US$1.95M	A$215K	A$1.723M US$1.09M	A$249.5K	US$157.2K
US$4M A$6.348M	A$2.116M US$1.33M	A$4.126M US$2.60M	A$280K	A$2.290M US$1.44M	A$334.5K	US$210.8K
US$5M **A$7.935M**	**A$2.645M** **US$1.67M**	**A$5.158M** **US$3.25M**	**A$300K** **(cap)**	**A$2.813M** **US$1.77M**	**A$413K**	**US$260K**

Tier math at US$5M revenue (total contribution A$2.813M): 12% × A$300K = A$36K + 15% × A$2.513M = A$377K. **Total: A$413K/mo = US$260K/mo.**

THE SHARED UPSIDE — FULL SCALE VIEW

At US$5M/month in new-sales revenue, Alchemy earns US$260K/mo — that's US$3.12M/year.

CS GROSS MARGIN POOL

A$5.16M

US$3.25M/mo

TOTAL CONTRIBUTION

A$2.81M

US$1.77M/mo

ALCHEMY'S SHARE

A$413K

US$260K/mo

That's **~14.7% effective blended rate** on total contribution — the 15% tier above A$300K pulls most of the weight. And this is the *monthly* number, not annual. This isn't a media buying gig anymore; it's a partnership that pays both sides at real scale.

WHY THE STRUCTURE NEEDS TO WORK THIS WAY — CS OPEX BASELINE

Full transparency. Here's what it costs to run Collective Shift each month before Alchemy's commission.

Non-ad monthly OPEX (team, platform, ops)	**A$300,000**
Baseline ad spend (target)	**A$150,000**
Renewal revenue (excluded from commission)	**A$150,000**
Gap covered by new sales	**~A$300,000 / month**

Active OPEX reduction in play. CS completed a team restructure end of March (Josh, Pat, Alisha off payroll), trimming A$58.7K/mo from fixed OPEX. Effective run-rate non-ad OPEX heading into Q3 is closer to **A$241K/mo**. Further cuts to contractor and SaaS lines under review — target a sub-A$225K non-ad OPEX baseline by end of Q3 which flows straight into a lower new-sales gap and a cleaner path to profitability for both sides.

Renewals retained by CS to cover core OPEX. Every dollar of additional ROAS drives both sides forward. Sourced from Updated Bull Market Base Case Budget, May/June 2026 average, adjusted for March 2026 restructure.

12-MONTH EARNINGS PATH — OPTION B TIERED

What the first 12 months of the new structure could look like as ad spend ramps. Paid + organic blend, 3x MER base case.

PHASE	AD SPEND	MONTHLY REVENUE	CONTRIBUTION (PAID + ORGANIC)	ALCHEMY (AUD/MO)	ALCHEMY (USD/MO)
Months 1–3 — ramp stabilise at current run-rate	A$100K/mo	A$300K + A$150K organic	A$192,500	**A$19,250** Q1 ≈ A$58K	US$12,130 Q1 ≈ US$36K
Months 4–6 — scaling **capital deployment begins**	**A$200K/mo**	**A$600K + A$150K organic**	**A$287,500**	**A$28,750** **Q2 ≈ A$86K**	**US$18,116** **Q2 ≈ US$54K**
Months 7–9 — full deployment US channel at scale	A$400K/mo	A$1.2M + A$150K organic	A$477,500	**A$51,300** Q3 ≈ A$154K	US$32,325 Q3 ≈ US$97K
Months 10–12 — scale **target deployment**	**A$500K/mo**	**A$1.5M + A$150K organic**	**A$572,500**	**A$64,875** **Q4 ≈ A$195K**	**US$40,879** **Q4 ≈ US$123K**
Year 1 Total (estimated)				**A$492K / yr**	**US$310K / yr**

Year-one estimate assumes straight-line ramp within each quarter. Organic held flat at A$150K/mo for conservatism; realistically it grows with CS's content and distribution efforts. Once ad spend clears A$500K/mo and stays there, Alchemy is crossing into the 15% tier — that's where the structure really pays.

The Opportunity Ahead

We've rebuilt this on honest assumptions. 3x MER is the planning base case. 5x is the stretch, not the baseline. On those numbers, **Option B gets Alchemy to A$11K/month (US$7K) from day one, A$48K/month (US$30K) at stretch, and A$62K+/month (US$39K+) at scale** — with the 15% tier waiting above A$300K contribution to reward the upside you push us to.

But the real number is up the ladder: at **US$5M/month in new-sales revenue, Alchemy earns ~US$260K/mo (A$413K) — ~US$3.1M per year**. That's not a theoretical endpoint; it's the trajectory we're capitalised to chase over the next 24–36 months.

We've kept the structure clean: no retainer, no weird carve-outs, commission on contribution margin only (ads properly deducted), organic in scope. The tier ladder means low-volume protection for us, uncapped upside for you.

US expansion is live, the raise is underway, and our OPEX line is moving in the right direction post-restructure. Let's lock in the structure and go.

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